

Cash & Debt — Assumption Notes

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Each line item below has five parts: Growth trajectory, Source, Verbatim, Why reasonable, and Major Variable (NET +/- and INFLOW/OUTFLOW). Debt stack: Sources \$457.8m TLA / \$274.7m TLB / \$183.1m Notes; Drivers C14-C18; AI_Operating FCF.

Cash, EOP

Growth trajectory

0% excess. Cash EOP held at minimum \$50m (Sources D16). Full sweep keeps cash flat; dollars do not pile up.

Source

REASONABLE: hold operating cash at model minimum \$50m

<https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm>

Verbatim

EQ: F144=\$D\$16 (Minimum cash desired). Filing cash was ~\$179.9m at close; excess above \$50m funded Sources (D27).

Why reasonable

Keeping only \$50m cash is normal in a full-sweep LBO so extra cash pays debt instead of sitting idle.

Major Variable

NO — cash stock stays flat. Not the main lever; the sweep of extra cash is.

Less: Minimum cash desired

Growth trajectory

\$50m flat min cash every year (Sources D16). Same floor all periods.

Source

REASONABLE: Minimum cash desired = \$50m in Sources

<https://www.sec.gov/Archives/edgar/data/1794515/000179451525000045/zi-20241231.htm>

Verbatim

EQ: F150=-\$D\$16. Sources D16=50. Excess cash at close = filing cash - 50 → D27.

Why reasonable

The \$50m floor is the cash the business must keep to run day to day.

Major Variable

YES — OUTFLOW of usable cash (locked as minimum). NET — vs using that cash to cut debt, but needed so the company can operate.

Plus: Free cash flows generated during period

Growth trajectory

+5% sales-driven. FCF \$ grows each year with AI_Operating (~\$123m→~\$248m). Not a flat dollar.

Source

REASONABLE: FCF for sweep = AI_Operating FCF after interest

<https://ryanoconnellfinance.com/lbo-model-fundamentals/>

Verbatim

Ctrl+F: 50-100% of annual excess free cash flow

EQ: F152=AI_Operating!D21. That FCF already nets CapEx and ΔNWC from Drivers.

Why reasonable

This is the cash the deal actually makes after interest. It is what can pay down loans.

Major Variable

YES — INFLOW of cash to the LBO. NET + for the LBO. More free cash means more debt paydown and a better equity outcome.

Revolver, EOP

Growth trajectory

0\$ drawn. Revolver stays undrawn; FCF covers needs so no revolver inflow.

Source

CAUTION — revolver capacity \$350m but draw = \$0 in base path

<https://ryanoconnellfinance.com/lbo-model-fundamentals/>

Verbatim

EQ: F155:F157=0. Availability F158=350 is a backstop, not used cash.

Why reasonable

The revolver is a rainy-day credit line. In this case we do not need to borrow on it.

Major Variable

NO — not used. If drawn it would be an INFLOW of cash but also NET — (more debt). Here it is idle.

Term Loan A, BOP

Growth trajectory

–1%/yr mandatory + 100% sweep. TLA BOP starts \$457.8m (Sources 2.5× EBITDA); balance falls as cash pays it down.

Source

REASONABLE: TLA principal = Sources D29 = 2.5× LTM EBITDA

<https://ctacquisitions.com/acquisition-financing/>

Verbatim

EQ: F162=\$D\$29 (457.8). Was a stale ~\$2.9bn hardcoded loan — replaced with GTM Sources stack.

Why reasonable

Term Loan A is the senior bank loan. Starting size must match the Sources page, not old template debt.

Major Variable

YES — debt balance (not cash flow by itself). NET + for equity when the balance falls; lower TLA means less interest and more exit equity.

Mandatory paydown \$ (TLA)

Growth trajectory

1%/yr of original TLA (Drivers C17). Flat \$ amort each year ($=0.01 \times \$457.8\text{m}$), not 5–10% old hardcodes.

Source

REASONABLE: Drivers C17=1% mandatory amortization

<https://clearvaluelending.com/glossary/term-loan-b>

Verbatim

Ctrl+F: minimal amortization (1% annually)

EQ: F163=\$D\$29*Assumptions_Drivers!\$C\$17.

Why reasonable

Lenders require a small fixed paydown each year even before the cash sweep.

Major Variable

YES — OUTFLOW of cash to lenders. NET + for the LBO. Required paydown shrinks debt and helps the buyout delever.

Cash sweep (paydown from excess cash flows)

Growth trajectory

100% sweep (Drivers C18). Sweep \$ = $\max(0, \text{FCF} - \text{TLA mand} - \text{TLB mand})$; grows as FCF grows.

Source

REASONABLE: Drivers C18=100% excess FCF sweep to debt

<https://ryanoconnellfinance.com/lbo-model-fundamentals/>

Verbatim

Ctrl+F: 50-100% of annual excess free cash flow

Ctrl+F: typically modeled at 100%

EQ: F164=MAX(0,AI_FCF–mandTLA–mandTLB)*C18. Priority: Term Loan A first.

Why reasonable

A 100% sweep means almost all leftover cash after the required 1% paydown goes to cut Term Loan A.

Major Variable

YES — OUTFLOW of cash (to pay debt). NET + for the LBO. Sweeping cash to Term Loan A is how the deal gets safer and equity value rises.

Cash sweep %

Growth trajectory

100% flat (Drivers C18). Sweep percent does not change; dollars swept grow with FCF.

Source

REASONABLE: cash sweep % = Drivers C18 = 100%

<https://ryanconnellfinance.com/lbo-model-fundamentals/>

Verbatim

Ctrl+F: typically modeled at 100%

EQ: sweep dollars in F164 use Assumptions_Drivers!\$C\$18.

Why reasonable

100% means we model using essentially all excess free cash to repay debt.

Major Variable

YES — OUTFLOW rule. NET + for the LBO. A full sweep is credit-positive: cash goes to debt, not dividends or idle cash.

Term Loan B, BOP

Growth trajectory

–1%/yr mandatory only. TLB starts \$274.7m (Sources 1.5×); falls slowly; no sweep until TLA is ahead.

Source

REASONABLE: TLB principal = Sources D30 = 1.5× LTM EBITDA

<https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/>

Verbatim

EQ: F170=\$D\$30. Rate Drivers C28=SOFR+5%. Mandatory = C17× original TLB.

Why reasonable

Term Loan B sits behind Term Loan A, so it gets the small 1% paydown while TLA takes the sweep.

Major Variable

YES — debt balance. NET + for equity as it declines, but less than TLA because most extra cash hits TLA first.

Mandatory amortization \$ (TLB)

Growth trajectory

1%/yr of original TLB (Drivers C17). Flat \$ amort ($=0.01 \times \$274.7\text{m}$) each year.

Source

REASONABLE: same 1% mandatory rule on TLB

<https://clearvaluelending.com/glossary/term-loan-b>

Verbatim

Ctrl+F: minimal amortization (1% annually)

EQ: $F171 = \$D\$30 * \text{Assumptions_Drivers!}\$C\$17$.

Why reasonable

Same 1% lender rule as Term Loan A, applied to the Term Loan B size.

Major Variable

YES — OUTFLOW of cash to TLB lenders. NET + for the LBO because it still reduces total debt each year.

Senior Note, BOP

Growth trajectory

0% amort. Senior Notes \$183.1m (Sources 1.0x) stay flat — bullet at maturity; no annual paydown in model.

Source

REASONABLE: Notes principal = Sources D31; bullet (0% mandatory)

<https://ctacquisitions.com/acquisition-financing/>

Verbatim

EQ: $F178 = \$D\31 ; $F179 = 0$. Interest $= (\text{SOFR} + 3.5\%) \times \text{Notes BOP}$. Balance does not amortize in-forecast.

Why reasonable

Notes usually do not get paid down a little each year; they wait until the end unless refinanced.

Major Variable

YES — debt still outstanding. NET — vs TLA/TLB paydowns: Notes keep interest expense alive until exit/refi.

Interest — Term Loan A

Growth trajectory

8.3% rate flat (Drivers C27=SOFR+4%). Interest \$ falls as TLA balance falls from sweep.

Source

REASONABLE: TLA rate = Drivers C27 = SOFR 4.3% + 4.0%

<https://www.global-rates.com/en/interest-rates/sofr/historical/2024/>

Verbatim

Ctrl+F: 4.30

Ctrl+F: SOFR + 400-500 bps

EQ: F208=F162*Assumptions_Drivers!\$C\$27. IS interest
F50=-(TLA+TLB+Notes interest).

Why reasonable

Interest is the price of the loan. As Term Loan A shrinks, this interest bill should shrink too.

Major Variable

YES — OUTFLOW of cash (interest). NET — for the LBO each year it is paid, but falling TLA makes this outflow smaller over time (good).

Interest — Term Loan B

Growth trajectory

9.3% rate flat (Drivers C28=SOFR+5%). Interest \$ edges down only with 1% TLB amort.

Source

REASONABLE: TLB rate = Drivers C28 = SOFR + 5.0%

<https://ibinterviewquestions.com/guides/valuation-investment-banking/lbo-debt-structures/>

Verbatim

Ctrl+F: SOFR + 300-500 basis points

EQ: F209=F170*Assumptions_Drivers!\$C\$28.

Why reasonable

Term Loan B costs more than Term Loan A because it is riskier for lenders.

Major Variable

YES — OUTFLOW of cash (interest). NET — for the LBO. Higher rate than TLA, and the balance falls only slowly.

Interest — Senior Note

Growth trajectory

7.8% rate flat (SOFR+3.5%). Interest \$ stays roughly flat because Notes principal does not amortize.

Source

REASONABLE: Notes $\approx$ SOFR+3.5% (same stack used in DCF cost of debt)

<https://www.global-rates.com/en/interest-rates/sofr/historical/2024/>

Verbatim

EQ: F210=F178*(Assumptions_Drivers!\$C\$14+0.035). Principal flat → interest roughly flat.

Why reasonable

Notes interest keeps showing up every year while the Notes balance stays outstanding.

Major Variable

YES — OUTFLOW of cash (interest). NET — for the LBO until exit or refinance clears the Notes.

Linked from the LBO tab CASH & DEBT section. Companion TXT:
LBOMODEL4_CASH_AND_DEBT_SOURCES.txt